

DOCUMENT 7 OF 7 - REGULATORY GATING AND DUE-DILIGENCE CHECKLIST

Due Diligence & Wisconsin Legal Gating Checklist

For the SBG Construction Group shared-services structure (Slogar, Barton, Garcia)

Prepared: 2026-06-17 **Prepared by:** AI legal/compliance counsel for Central Wisconsin Deck Builders, LLC (Jim Slogar) **Parties:** Jim Slogar (Central Wisconsin Deck Builders, LLC) · Ben Barton (Barton Builders LLC) · John Garcia (John Garcia Construction LLC) **Status:** DRAFT working checklist for partner alignment. Not legal advice.

WHY THIS DOCUMENT EXISTS. Three businesses are about to share crews, equipment, money, and liability through a common back office. Even though they are NOT merging in Phase A, they are commonly owned and will move money between each other every week. Before that starts, each partner needs an honest, mutual look at the others' standing: debts, liens, unpaid subs, tax standing, insurance, licenses, and disputes. A partner who drags a tax lien or an uninsured exposure into a commonly-owned group puts the other two at risk through the related-party relationships. The second half is the Wisconsin legal box-checking required to operate the SBG entities and keep each operating LLC legal.

PART A: Mutual Partner Due-Diligence Checklist (Phase A)

How to use this: Each partner completes one copy for their own business (Jim for Central Wisconsin Deck Builders, LLC; Ben for Barton Builders LLC; John for John Garcia Construction LLC). All three exchange completed copies before signing the SBG operating agreements and the inter-company agreements. Share sensitive items under a signed mutual NDA.

Phase A scope note. Because job profit is **siloed in each LLC in Phase A**, the partners are NOT buying into each other's backlog, debt, or goodwill yet. So this Phase A diligence is lighter than a full-merger diligence: it is about confirming that each partner is a clean, solvent, insured, licensed counterparty to share a back office with, not about valuing each business for a pooled split. **The heavy valuation diligence (backlog margin, deposits spent, goodwill, full balance-sheet valuation) is deferred to the Phase B pooling diligence**, flagged in A2 below and triggered by the Phase B decision (term sheet Section 13).

Format note: replace the checkbox with the actual answer/document reference per partner. "Provide" means hand over the document, not just describe it.

A0. What each partner puts INTO SBG (new, Phase A specific)

0.1	Confirm the equal cash contribution amount each partner is putting into SBG-Labor, SBG-Equipment, and (when activated) SBG-RealEstate, and proof of ability to fund it	Capital into SBG is plain equal cash (term sheet Section 2). Everyone needs to confirm everyone else can actually write the same check, on the same timeline, before the entities are funded.
0.2	Any equipment a partner wants to sell INTO SBG-Equipment : item, fair-market-value support (recent invoice, dealer quote, or short appraisal), and a lien/payoff check	Equipment sold in is an arm's-length FMV SALE, not a contribution (term sheet Section 2.2). The other two need to confirm the price is real market and the item is free of liens, or the loan rides into SBG-Equipment.
0.3	Confirmation that no partner expects to contribute backlog, brand, or goodwill in Phase A	Phase A is equal cash only. Brand/leads stay Jim's; backlog stays each LLC's. Surfacing any contrary expectation now prevents a "but I thought I was buying in" fight later.

A1. Financial standing and books

1.1	Last 2 to 3 years profit & loss statements	Confirms each partner's operating LLC is solvent and a viable customer for SBG's labor and equipment. A partner whose LLC cannot pay its lease invoices starves SBG.
1.2	Last 2 to 3 years balance sheets	Reveals hidden debt and whether equipment is owned or owed-on. Matters for A0.2 (equipment sold in) and for solvency.
1.3	Most recent business bank statements (3 to 6 months)	Confirms each LLC actually has the cash flow to pay SBG's monthly labor and equipment invoices and to fund the equal cash contribution (A0.1).
1.4	Accounts payable / outstanding bills, including unpaid suppliers and subs	A partner whose LLC stiffes suppliers is a reputation and lien risk that touches the shared crews and equipment working those jobs. See A3.6.
1.5	Bookkeeping method and software (QuickBooks, etc.); access for review	SBG needs clean inputs to bill each LLC and to keep the related-party books defensible. Jim, as the SBG finance lane and a CPA, needs to see how each LLC keeps its books.

Backlog detail is deferred to Phase B. In Phase A it is NOT pooled, so detailed backlog margin, deposits-spent analysis, and per-job valuation are deferred. Each partner should still disclose, at a high level, that they have enough booked work to need SBG's crews (so SBG-Labor's headcount is justified), but the deep backlog valuation belongs to Phase B (A2 note).

A2. Backlog (high-level now; deep valuation deferred to Phase B)

2.1	High-level summary only: roughly how much booked/in-progress work each LLC has, and the crew demand it implies	In Phase A this only needs to justify SBG-Labor's crew size and SBG-Equipment's fleet. It does NOT feed a pooled valuation.
2.2	Which legal entity signs each homeowner (each partner's own LLC, under its own license and permit)	Confirms the structure is working as designed: each LLC is its own prime. SBG never signs a homeowner.

PHASE B POOLING DILIGENCE (deferred, do this before merging). When the partners decide to enter Phase B (term sheet Section 13), run the FULL backlog and business valuation that this Phase A checklist deliberately skips: per-job contract value, cost to complete, real net margin, deposits already collected and whether that cash is still on hand or spent, signed contracts and change orders, at-risk/problem jobs, warranty tails, and a full balance-sheet valuation of each operating LLC. That is the diligence that makes the Phase B equalization (term sheet Section 13.2) honest. It is large, and doing it now would be premature because nothing is pooled yet.

A3. Business debt, loans, and liens

3.1	All business loans, lines of credit, and balances	A partner's LLC debt does not become SBG's debt, but a deeply leveraged LLC is a shaky counterparty for SBG's lease relationships.
3.2	Equipment financing / leases and payoff balances	Directly relevant to A0.2: any equipment a partner sells into SBG-Equipment must be clear of liens, or the lien rides along.
3.3	Personal guarantees the owner has signed for business debt	Because the partners own SBG individually (term sheet Section 1.2 flag), a partner's personal guarantee gone bad can reach their personal SBG stake. The other two should know the exposure.

3.4	Existing liens (UCC filings, equipment liens, tax liens, mechanic's/construction liens against the business or its jobs)	A lien follows the asset. Search WI DFI UCC records and county records. A lien on equipment a partner wants to sell into SBG-Equipment is a direct problem. A tax lien against a partner signals a counterparty risk.
3.5	Credit-card debt and merchant cash advances	High-cost short-term debt is a cash-flow red flag for a partner who must pay SBG's invoices and fund the equal cash contribution.
3.6	Unpaid subcontractors or suppliers (who could file a lien on a customer's property)	An unpaid sub on a partner's job can lien the homeowner, and the SBG crew that worked that job is now adjacent to a customer crisis. The other partners need this surfaced.

A4. Tax standing

4.1	Last 2 to 3 years business tax returns	Cross-checks the P&L and confirms the partner files and pays. A partner with a tax problem is a risk to a commonly-owned group.
4.2	Federal and Wisconsin tax accounts current? Any back taxes, payment plans, or notices?	Unpaid tax can become liens that follow assets and reach a partner personally, and personally is where the SBG stake now sits (Section 1.2 flag).
4.3	Wisconsin sales/use tax registration and filing status	Construction has specific Wisconsin sales/use tax rules. Also relevant because SBG-Equipment will itself need sales-tax registration for rentals (Part B), and the partners should understand how each LLC currently handles construction sales/use tax.
4.4	Payroll tax status if they have ever had employees (941s, WI withholding, unemployment insurance)	Unpaid payroll taxes are among the most aggressive liabilities and reach owners personally. Especially relevant because SBG-Labor is about to become the payroll employer for everyone, and clean partner history matters.
4.5	Worker classification history (1099 subs vs. W-2 employees)	Past misclassification creates back-tax, penalty, and workers'-comp exposure. Under SBG, the crews and partners become proper W-2 employees of SBG-Labor, which fixes this going forward, but disclosed past exposure should not be dragged into the shared structure.

A5. Insurance currently carried (each LLC keeps its own)

5.1	General liability (GL) policy: carrier, limits, expiration, claims history	Each operating LLC keeps its OWN GL as the prime on its own jobs (term sheet Section 14.1). The other partners need to confirm each LLC is genuinely insured, because the shared crews and equipment will be working on those insured jobs.
5.2	Commercial auto policy (trucks, trailers)	Vehicles on the road are direct liability. If a vehicle is sold into SBG-Equipment, coverage must move to the right entity.
5.3	Umbrella / excess liability	Indicates how well-protected each LLC is against a large claim.

5.4	Workers' compensation (current status / exemption)	Today each LLC may run on a solo-owner WC exemption. That changes under SBG: SBG-Labor carries the workers' comp for the crews and partners (Part B, B3). The partners need to map how each LLC's current WC posture transitions to leased labor under SBG-Labor's coverage (see the WC coordination item, A10).
5.5	Any past claims, lapses, or non-renewals	A heavy claims history or non-renewal raises everyone's cost and signals risk in a commonly-owned group.

A6. Licenses and certifications (each LLC must hold its own)

6.1	WI DSPS Dwelling Contractor Certification (entity) + Dwelling Contractor Qualifier (individual) for each operating LLC: hold it? credential number? expiration? CE current?	Credentials do NOT transfer between entities. Each operating LLC must independently hold its own certification + qualifier to be the prime on its jobs. Ben's and John's LLCs operate already; Jim's LLC still needs Jim's qualifier + the entity certification. The other partners should confirm each LLC's credential is real and current, because the structure depends on each LLC being its own legal prime.
6.2	Any other trade licenses/registrations held	Confirms scope of work each LLC can legally cover.
6.3	Lead-safe / EPA RRP certification (if working pre-1978 housing)	Required for renovation disturbing paint in pre-1978 homes. A gap is a federal exposure for that LLC, and the shared crews would be doing the disturbing.
6.4	Any past license discipline, suspension, complaint, or denial	A disciplinary history is a character/risk signal for a partner you are sharing a back office with.

A7. Disputes, lawsuits, and warranty claims

7.1	Pending or threatened lawsuits (by or against the business)	A partner's lawsuit stays that LLC's problem in Phase A (it is not pooled), but a litigious or sued partner is a risk to the shared relationships and possibly to their personal SBG stake.
7.2	Open or recent warranty claims and callbacks	Warranty tails stay with the LLC that did the job in Phase A. The other partners should still know the volume, because the shared crews may get pulled into callbacks.
7.3	Customer complaints, BBB issues, negative-review patterns, chargebacks	Reputation risk that attaches to a partner you are commonly owned with.
7.4	Any disputes with subs, suppliers, or former employees/partners	Predicts how the partner handles conflict and surfaces hidden liabilities.
7.5	Any prior business-partnership history and how it ended	Highly predictive of how someone behaves in a co-owned structure.

A8. Equipment (what is being sold into SBG vs. kept)

8.1	Inventory of equipment, tools, vehicles each partner currently owns	Identifies what SBG-Equipment might buy (A0.2) versus what stays in each LLC.

8.2	For each item proposed to sell into SBG-Equipment: owned free-and-clear, financed (balance + lienholder), or leased; plus FMV support	Only clear-title items can be cleanly sold in at FMV. A financed item drags its lien into SBG-Equipment unless the loan is paid off at sale.
8.3	Condition, age, and rough fair market value of each item proposed for sale-in	Prevents over-paying SBG-Equipment cash for worn-out gear, which would unfairly cash out one partner at the group's expense.
8.4	Which equipment each LLC will keep and use directly vs. rent from SBG-Equipment	Defines what flows through the equipment lease (term sheet Section 3 / companion file) and what does not.

A9. Existing contracts and the OLD lead-purchase deal (must be wound down)

9.1	Vendor/supplier accounts, terms, and any volume commitments per LLC	Good supplier terms are an asset; locked-in minimums are a liability. Relevant to how the shared crews and equipment get supplied.
9.2	Equipment rental, yard/shop lease, or storage agreements each LLC currently holds	Relevant when SBG-RealEstate eventually activates and when SBG-Equipment takes over equipment. A lease that must be honored affects the transition.
9.3	The old CWDB-to-Ben/John lead-purchase deal (\$1,000 per accepted bid): current open items, any bids in flight, any amounts owed	This deal is being WOUND DOWN (term sheet Section 4). The partners must do a clean final accounting and written termination so there is no dangling conflict between the terminated lead-purchase arrangement and the new SBG relationships. Confirm nothing is left owed in either direction.
9.4	Confirmation that each partner's own marketing, brand, and customers stay with their LLC and are NOT contributed or licensed to SBG	Closes the loop with term sheet Section 4. Avoids any later "I thought the leads came into the group" misunderstanding.

A10. Inter-company-agreement readiness (new, Phase A specific)

The three inter-company agreements are the operational heart of Phase A (term sheet Section 3; full outlines in inter-company-agreements.md). This is a readiness check that the inputs to draft them exist.

10.1	Labor / staffing agreement readiness: market wage data for the crews and partner roles, the markup logic (wages + payroll tax + WC + overhead + margin), and which LLC's Qualifier directs the work on each job	The labor lease must be market-priced and documented or it fails both the tax test (IRS/DOR reallocation) and the veil-piercing test. The partners need the wage and markup inputs before the attorney/CPA can paper it.
10.2	Equipment lease readiness: the equipment schedule (what SBG-Equipment will own and rent out), market lease rates, and the decision on who remits the WI sales tax on the rental	The equipment lease must be market-priced, and the sales tax on the rental must be assigned and registered (Part B, B3).
10.3	Workers' comp / borrowed-servant coordination readiness: confirmation that SBG-Labor will carry the workers' comp, and how each operating LLC's certification WC-or-exemption requirement is satisfied when it uses LEASED crews instead of its own employees	This is the trickiest interaction (see Part B, B2.6). It must be coordinated with the insurer and possibly WI DSPS before the structure goes live, or a leased-worker injury could pierce straight through to an operating LLC.

PART B: Wisconsin Legal & Regulatory Gating Checklist (SBG structure)

The structure's licensing advantage: because **SBG does not contract with homeowners**, the heavy dwelling-contractor licensing gate sits on the three operating LLCs (each its own prime), NOT on SBG. SBG's own gates are narrower: workers' comp, payroll, sales-tax registration for equipment rentals, and the S-corp setup for SBG-Labor.

The overriding rule: operating as a residential contractor in Wisconsin without the required certification and insurance is illegal. **Each operating LLC** must independently satisfy that for its own jobs (B1). **SBG** satisfies its own narrower set (B2 and B3). Until Jim's LLC holds its own certification + qualifier + GL, Jim's LLC continues the phased fulfillment model (cosmetic stain/resurface self-perform only; build/structural jobs signed and permitted by a licensed builder).

B1. Each operating LLC's contractor gate (its own jobs)

B1.1	Each operating LLC holds its OWN Dwelling Contractor Certification (entity) to contract for and permit residential work in its own name. Proof of GL required to obtain it. Credentials do NOT transfer between entities.	WI DSPS; Wis. Stat. ch. 101; Wis. Admin. Code SPS 305	BLOCKS that LLC from being prime. Ben's/John's LLCs operate; Jim's LLC is gated until Jim is certified.
B1.2	Each operating LLC has a linked Dwelling Contractor Qualifier (individual): the responsible person completes the approved 12-hour course and holds the credential.	WI DSPS; SPS 305	BLOCKS that LLC from being prime. Jim still needs his Qualifier.
B1.3	Each operating LLC carries its own GL insurance (prerequisite to B1.1)	Commercial carrier; required by WI DSPS	BLOCKS that LLC from being prime
B1.4	EPA RRP firm + renovator certification for any LLC doing pre-1978 paint-disturbing work	EPA (federal), enforced in WI	BLOCKS that LLC's pre-1978 renovation work specifically
B1.5	ATCP 110-compliant homeowner contracts, Notice of Right to Cancel where required, lien notices/waivers (Wis. Stat. Ch. 779), and per-job building permits, all by the contracting LLC	Wis. Admin. Code ATCP 110; FTC 16 CFR 429 + Wis. Stat. 423.203; Wis. Stat. Ch. 779; local building departments; WI UDC SPS 320-325	BLOCKS that LLC's homeowner jobs
B1.6	The "licensed and insured" advertising claim is TRUE of the contracting LLC	ATCP 110; Wis. Stat. 100.18	BLOCKS that LLC's advertising of the claim
B1.7	Confirm any City of Wausau / Marathon County local contractor registration per jurisdiction	City of Wausau; Marathon County	Verify directly; potentially BLOCKS in that jurisdiction

B2. SBG entity foundation and the SBG licensing question

B2.1	Form SBG-Labor, SBG-Equipment, and SBG-RealEstate as Wisconsin LLCs (Articles of Organization with WI DFI). SBG-RealEstate is formed but dormant.	Wis. Stat. Ch. 183; WI DFI	BLOCKS SBG operation
B2.2	Confirm SBG-entity name availability + clearance, reserve as needed	WI DFI name search	BLOCKS formation (do first)

B2.3	Adopt signed operating agreements for each SBG entity (this term sheet becomes them)	Wis. Stat. Ch. 183; WI attorney	BLOCKS SBG operation (without one, Wisconsin's default rules govern, which do NOT include the buy-sell, deadlock, lane, or reinvest-vs-distribute terms)
B2.4	Obtain a federal EIN for each SBG entity	IRS	BLOCKS SBG operation (needed for bank, payroll, tax)
B2.5	Open separate bank + credit accounts for each SBG entity; all three partners at least view access	n/a	BLOCKS SBG operation (separation preserves the liability shields and the related-party integrity story)
B2.6	Confirm SBG needs NO Dwelling Contractor Certification as a labor/equipment LESSOR that does not contract with homeowners or pull permits. CONFIRM DIRECTLY WITH WI DSPS. Ask specifically whether SBG-Labor "furnishing labor for dwelling construction" triggers any credential.	WI DSPS	BLOCKS SBG operation IF DSPS unexpectedly requires a credential. Do not assume; verify.
B2.7	File a WI DFI annual report for each SBG entity each year; keep the three operating LLCs in good standing too	WI DFI	Ongoing

B3. SBG-Labor: workers' comp, payroll, and the leased-labor / WC interaction

B3.1	Workers' compensation insurance for SBG-Labor , covering the W-2 crews AND the three partners as employees. SBG-Labor is the employer of record.	Wis. Stat. ch. 102; WI Dept. of Workforce Development	BLOCKS SBG-Labor leasing any worker. Non-negotiable before a crew or partner works a job.
B3.2	Payroll setup for SBG-Labor: federal EIN payroll, WI withholding account, WI unemployment insurance registration, payroll processing	IRS; WI DOR; WI DWD	BLOCKS SBG-Labor running payroll
B3.3	S-corp election for SBG-Labor (so the partners are true W-2 employees and the labor cost is a clean market input). Accounting-side decision and timing; this checklist does not re-derive the tax.	IRS Form 2553; coordinate with CPA	Gates the intended tax treatment; file within the deadline
B3.4	The labor / staffing agreement signed with each operating LLC, market-priced and documented	WI attorney / CPA; companion file <code>inter-company-agreements.md</code>	BLOCKS clean inter-company labor billing (and the tax/veil protection it provides)

B3.5	LEASED-LABOR / WC-EXEMPTION INTERACTION (resolve explicitly). Each operating LLC's Dwelling Contractor Certification requires either WC coverage OR a valid exemption. When an LLC uses leased crews from SBG-Labor instead of its own employees, work out with the insurer and WI DSPS how that LLC satisfies the WC-or-exemption requirement: typically the LLC relies on its own continued solo-owner exemption (if it has no employees of its own) WHILE the leased workers are covered under SBG-Labor's comp policy and the special-employer / borrowed-servant doctrine (companion file). Confirm DSPS accepts this arrangement on each LLC's certification.	WI DSPS; Wis. Stat. ch. 102; insurer	BLOCKS first leased-labor job if unresolved. This is the single trickiest legal interaction in the structure. Get it confirmed in writing.

B4. SBG-Equipment: sales-tax registration for rentals

B4.1	Register SBG-Equipment with the WI Department of Revenue for sales/use tax. Renting tangible personal property (equipment, tools, vehicles) to the operating LLCs is a taxable transaction in Wisconsin; SBG-Equipment must collect/remit the sales tax on the rental stream.	WI DOR; Wis. Stat. ch. 77; Wis. Admin. Code ch. Tax 11	BLOCKS SBG-Equipment renting equipment for tax-compliance purposes
B4.2	The equipment lease signed with each operating LLC, market-priced, specifying WHO remits the sales tax on the rental	WI attorney / CPA; companion file	BLOCKS clean inter-company equipment billing
B4.3	Commercial coverage on SBG-Equipment's assets (property + commercial auto for any vehicles it owns)	Commercial carrier	BLOCKS in practice for owned vehicles; recommended for owned equipment

B5. Homeowner contract, lien, and permit compliance (sits on the operating LLCs)

B5.1	ATCP 110-compliant home improvement contract for residential jobs (the contracting LLC uses it)	Wis. Admin. Code ATCP 110	BLOCKS that LLC's homeowner jobs. Non-compliance exposes the contractor to penalties and double damages.
B5.2	Notice of Right to Cancel (3-business-day) where required	ATCP 110; FTC 16 CFR 429; Wis. Stat. 423.203	BLOCKS applicable jobs. If not given, the cancellation window never closes.
B5.3	Lien notice to owner + lien-waiver process on covered jobs (collect waivers from subs/suppliers as paid; issue to owners as paid)	Wis. Stat. Ch. 779	BLOCKS covered jobs in practice. Note: SBG's leased crews and any subs must be tracked so an unpaid party cannot lien the homeowner.

B5.4	Building permits per job, pulled by the licensed contracting LLC ; build to the WI UDC and pass inspections (ledger, footings, guardrail height, load)	Local building departments; WI UDC SPS 320-325, principally SPS 321	BLOCKS per job. The entity pulling the permit must be the licensed LLC; SBG never pulls a permit.
------	---	---	---

B6. Employment compliance (rides on SBG-Labor as the employer)

B6.1	I-9 employment eligibility for every SBG-Labor employee; required labor-law postings	Federal + WI	BLOCKS SBG-Labor employment
B6.2	OSHA jobsite safety standards applied to SBG-Labor's crews	Federal OSHA	Ongoing per job
B6.3	Correct worker classification: the crews and partners are W-2 employees of SBG-Labor; any remaining subs (outside SBG) get subcontractor agreements + certificates of insurance	IRS/WI classification rules; Wis. Stat. Ch. 779	Ongoing; misclassification is the main employment risk

The short version: what must be true before SBG goes live

1. The three SBG entities formed at WI DFI + operating agreements signed + EINs + separate bank accounts (B2).
2. **SBG needs NO dwelling-contractor cert as a lessor: confirmed with WI DSPS (B2.6).**
3. **SBG-Labor workers' comp in force + payroll + WI withholding + unemployment registration + S-corp election (B3.1-B3.3).**
4. The **leased-labor / WC-exemption interaction resolved in writing** with the insurer and DSPS for each operating LLC (B3.5).
5. **SBG-Equipment registered with WI DOR for sales tax on rentals (B4.1).**
6. The **three inter-company agreements drafted, market-priced, and signed** (B3.4, B4.2, and the WC coordination agreement).
7. The old CWDB-to-Ben/John lead-purchase deal cleanly wound down and documented (Part A, A9.3).

What must be true for each operating LLC (independently, for its own jobs)

1. Its own Dwelling Contractor Certification + linked Qualifier + GL (B1.1-B1.3). **Jim's LLC is still gated until Jim is certified.**
2. ATCP 110 contract + Notice of Right to Cancel + lien notices/waivers + permits, all in the contracting LLC's name (B1.5, B5).
3. The "licensed and insured" claim true of that LLC (B1.6).

What must be added before the Phase B merger (deferred)

1. The FULL Phase B pooling diligence: backlog margin, deposits-spent, warranty tails, and a full valuation of each operating LLC (Part A, A2 note).
2. The Phase B valuation/equalization and operating-LLC end-state decisions executed (term sheet Section 13).

This document was prepared by AI legal counsel for informational and partner-alignment purposes only. It is a working due-diligence and compliance checklist, not legal advice and not a complete statement of every applicable requirement. Specific thresholds and rules (for example, the workers' compensation requirements under Wis. Stat. ch. 102, the leased-labor / WC-exemption interaction on each LLC's Dwelling Contractor Certification, WI DOR sales-tax treatment of equipment rentals, whether SBG as a lessor needs any DSPS credential, local registration requirements, and current ATCP 110 / Ch. 779 / DSPS rules) must be verified with the City of Wausau, Marathon County, WI DSPS, WI DOR, the WI Dept. of Workforce Development, a Wisconsin-licensed insurance agent, and a licensed Wisconsin attorney before the SBG entities operate. Review by a licensed Wisconsin attorney is required before execution and first operation.